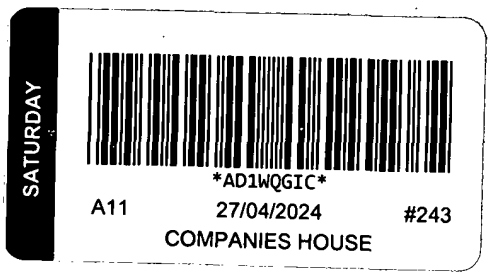
Registered number: 04305508

SWANSEA CITY FOOTBALL 2002 LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 JULY 2023



SWANSEA CITY FOOTBALL 2002 LIMITED

COMPANY INFORMATION

Directors	Mr. R Chaudhari Mr. R E Hernreich Mr. J Levien Mr. M W Morgan Mr. J Silverstein Mr. A Coleman (appointed 2 May 2023) Mr. N Morris (appointed 12 May 2023) Mr. B Cravatt (appointed 6 July 2023) Mr. P Meller (appointed 13 September 2023) Mr. T Marcelle (appointed 13 September 2023)
Company secretary	*Gareth Davies*
Registered number	04305508
Registered office	Swansea.Com Stadium Landore Swansea SA1 2FA
Independent auditors	MHA Chartered Accountants and Statutory Auditor MHA House Charter Court Swansea Enterprise Park Swansea SA7 9FS

SWANSEA CITY FOOTBALL 2002 LIMITED

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GROUP STRATEGIC REPORT
FOR THE YEAR ENDED 31 JULY 2023

Business review

The 2022/23 football season was Swansea City's fifth consecutive season in the EFL Championship, and the second season under Head Coach, Russell Martin. At the start of the season the team struggled to achieve positive results, with a run of one win in their first seven League fixtures; however the results thereafter improved considerably; and the club occupied a season high position of 4th in the Division in October 2022. Ultimately the Club were unable to maintain this form for the remainder of the season. Despite notable wins against local rivals Cardiff City FC in October 2022 and again in April 2023, and ending the season on a nine game unbeaten streak, the Club finished the season in a final position of 10th on 66 points (2022: 15th place with 61 points).

Following the conclusion of the 2022/23 football season, Head Coach Russell Martin and certain members of Russell's coaching staff left their positions at the Club to take up similar roles with Southampton FC. Further changes were experienced off the field with the Club appointing Andrew Coleman as Chairman in May 2023. Andrew's commitment to the Club has already been made very clear, with Andrew not only providing financial support to the Club, but also by relocating his family to Swansea from the USA. Andrew brings a fresh, enthusiastic approach and the Board are looking forward to working with Andrew under his tenure. A further change at Board level took place in June 2023 with Chief Executive, Julian Winter, leaving the club after over two and a half years at the Club. The Board wishes to thank Julian for his efforts during his time at the Club and wishes him well for the future.

The Club continued to invest significantly in its playing squad during the year under review. A total of £6,865k of costs relating to the acquisition of player registrations were capitalised (2022: £6,886k). To complement this investment, the playing squad was also supplemented by products from its Academy, most notably Oli Cooper and Liam Cullen experiencing breakthrough seasons.

The Club has continued to receive significant financial support from its beneficial owners. During the year, the club converted loans totalling £14,084k to equity; and received further cash injections totalling £27,078k by way of further issues of ordinary shares during the year. Accordingly the Board wish to formally acknowledge the continued generous financial support provided by the Club's beneficial owners.

At the core of the Club's strategy is to follow a positive player trading model. Significant gains on disposals of player registrations of £4,519k were recognised during the year (2022: £10,878k); and subsequently to the year end further player registrations were disposed of for a total consideration of £9,891k.

Youth Academy

The Club operated a Category 2 status Academy throughout the 2022/23 season and will continue to operate at this Category for the 2023/24 season. Youth Development is at the forefront of the Club's footballing strategy, and whilst the Club endeavours to provide adequate facilities and resources in order to generate talent suitable for the Senior Team environment, the Academy status will continue to be evaluated to ensure that the Academy is delivering an appropriate return to the Club overall.

Swansea City Women F.C.

Swansea City Women finished the 2022/23 season in 2nd place in the Adran Premier Division (2022: 1st place). During the year, the Club assumed operational control of the Swansea City Women teams, and immediately established semi professional status ahead of the 2023/24 season. Supporting the continued growth of Womens' football in the community is a key objective of our business.

Principal risks and uncertainties

Relegation

The main risk continues to be relegation from the EFL Championship. The Directors are committed to facilitating the provision of funding necessary for investment in players, coaches and management to ensure the team is competitive. However this funding is dependent on player trading and / or external investment. In the event of relegation then the Directors will address this risk by divesting in members of their playing squad to strive to achieve an appropriate cost base for the League Division they are competing in. The Club has taken steps to mitigate the financial impact of relegation by ensuring that so far as possible, player contracts incorporate a salary reduction clause in the event of relegation. The risk of reduced matchday and commercial revenues is mitigated by ensuring that Season Tickets are offered for sale well in advance of the conclusion of the previous League season, and that wherever possible commercial contracts are multi year in duration.

Going concern

As set out in greater detail in the accounting policies in 2.3, the directors acknowledge the difficult financial and operational conditions the group and Club, along with other Championship football clubs, are experiencing. The directors ensure that the group's financial position is continually monitored by preparing detailed profit and loss, balance sheet and cashflow forecasts each financial year considering a range of reasonably foreseeable scenarios and material uncertainties in relation to income and costs.

Financial key performance indicators

Key performance indicators are:

Financial

	2023 £	2022 £
Cash Flow (Annual movement in cash at bank and in hand balance)	+£2.04m	*+£1.2m*
Turnover	£22.0m	*£20.1m*
Operating loss before profit on disposals on player registrations	£21.7m	*£23.1m*
Profit on disposals of player registrations	£4.5m	*£10.9m*

The results for the year and year end position is in line with the directors' expectations and prior year forecasts. Liquidity and the availability of cash flow remains a significant metric and the increase in cash at bank, through careful management of net current assets and equity/debt finance, is a positive outcome.

Non-financial: playing squad performance.

The performance of our playing squad has been commented on within the Business Review.

Financial Risk Management

The group's operations expose it to wide variety financial risks.

Price risk

The group's principal financial instruments comprise bank balances, loans, trade debtors, creditors and finance lease agreements. The main purpose of these instruments is to finance the group's operations. Due to the nature of the financial instruments used by the group there is no exposure to price risk. The group's approach to managing other risks applicable to the financial instruments concerned is shown below.

Liquidity risk

The group prepares regular forecasts of cash flow and liquidity, and the requirement for additional funding is communicated to the Board and monitored on a monthly basis. The beneficial owners ensure that sufficient funds are made available to the Club in order for the Club to meet its financial obligations as and when they fall due.

Credit risk

Trade debtors are managed in respect of credit and cashflow by policies concerning the credit offered to customers and the regular monitoring of amounts outstanding for both time and credit risk. The risk of debtor default from UK football clubs is mitigated by the preferential football creditor rules. The credit-worthiness of non UK football debtors is considered on a case by case basis prior to concluding any major transactions with these potential customers.

Appropriate terms are negotiated with suppliers. Trade creditors liquidity risk is managed by ensuring sufficient funds are available to meet amounts due.

Currency Risk

Currency risk is managed by careful monitoring of the exchange rates and the maintenance of bank accounts in foreign exchanges.

GROUP STRATEGIC REPORT (CONTINUED)
FOR THE YEAR ENDED 31 JULY 2023

Section 172 statement

The board of directors of Swansea City Football 2002 Limited consider, both individually and as a collective, that they have acted in the way they consider in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole (having regard to the stakeholders and matters set out in s172(1)(a-f) of the Companies Act 2002) in the decisions taken during the year ended 31 July 2023.

The directors recognise that, as stewards of such a historic and prestigious football club, it is vital that the long term interests of the valued supporters are considered in every key decision made by the directors. Regular dialogue is maintained with the Club's supporters via a range of methods. For example, meetings are held with representatives of the Swansea City Supporters Trust and there are also opportunities for supporters to address the directors directly via Fans Forum events which are held on a regular basis. The Chairman also addresses supporters directly via communications published on the official Club website, and the matchday programme. These are just a small number of examples in which two way dialogue is maintained between the Football Club and its supporters.

Our employees are fundamental to the success of our business. We aim to be a responsible employer in our approach to the pay and benefits our employees receive. We also recognise the need to consider the wellbeing of our employees, and we regularly reach out to employees on such matters via a number of initiatives.

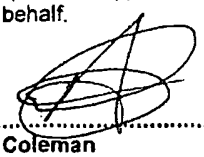
The Club is also supported by a reliable supplier base. We value our suppliers extremely highly, and we aim to act responsibly and fairly in how we engage with our suppliers. We also aim to ensure suppliers are paid promptly.

The Club is viewed as a representative of the local community; the Directors therefore recognise the importance of the Club in being active in supporting the local community. This is primarily achieved by working closely and in conjunction with the affiliated Swansea City Foundation which works hard to promote sport and education in the local community. The Club provides human and financial resource to the Foundation to ensure that they remain well supported in this regard.

Major decisions within the year have focussed on improving on-pitch successes, strengthening the playing squad and ensuring the stability of the financial position of the club.

It is the intention of the directors to behave responsibly and ensure that management operate the business in a responsible manner, operating within the high standards of business conduct and good governance expected for a business such as the Club.

This report was approved by the board on 15/02/24 and signed on its behalf.



.....
Mr. A Coleman
Director

DIRECTORS' REPORT
FOR THE YEAR ENDED 31 JULY 2023

The directors present their report and the financial statements for the year ended 31 July 2023.

Principal activity

The principal activity of the group continued to be the operation of a professional football club, together with associated activities.

Directors' responsibilities statement

The directors are responsible for preparing the Group Strategic Report, the Directors' Report and the consolidated financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and the Group and of the profit or loss of the Group for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Group's financial statements and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Group will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and the Group and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and the Group and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Results and dividends

The results for the year are set out on page 12.

No ordinary dividends were paid. The directors do not recommend payment of a further dividend.

DIRECTORS' REPORT
FOR THE YEAR ENDED 31 JULY 2023

Directors

The directors who served during the year were:

Mr. R Chaudhari
Mr. R E Hemreich
Mr. H M Jenkins (resigned 31 July 2023)
Mr. J Levien
Mr. M W Morgan
Mr. J Silverstein
Mr. J Winter (resigned 23 June 2023)
Dr E S Davies (appointed 8 August 2022, resigned 13 September 2023)
Mr. S Porter (resigned 31 December 2023)
Mr. T Sinnett (resigned 8 August 2022)
Mr. A Coleman (appointed 2 May 2023)
Mr. N Morris (appointed 12 May 2023)
Mr. B Cravatt (appointed 6 July 2023)

Future developments

The strategy and future developments in the business are set out in the Strategic Report.

Employee involvement

The group places considerable value on the involvement of its employees and has continued to keep them informed on matters affecting them as employees and on the various factors affecting the performance of the company. This is achieved through formal and informal communications issued to staff. Employee representatives are regularly on a wide range of matters affecting their current and future interest.

The Strategic Report contains details on how the directors have engaged with employees and taken account of their interests as part of the wider Stakeholder Engagement note contained in that report.

Disabled persons

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the group continues and that the appropriate training is arranged. It is the policy of the group that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Disclosure of information to auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that so far as the director is aware, there is no relevant audit information of which the Group's auditors are unaware, and the directors have taken all the steps that ought to have been taken as directors in order to be aware of any relevant audit information and to establish that the Group's auditors are aware of that information.

Post balance sheet events

Post balance sheet events are disclosed in note 28.

DIRECTORS' REPORT
FOR THE YEAR ENDED 31 JULY 2023

Energy and emission report

UK Greenhouse gas emissions and energy use data for the period 1 August to 31 July:

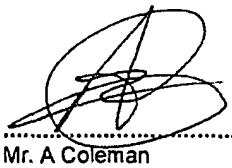
	2023	2022
	£	£
UK Energy use, kWh	7,494,426	*7,410,958*
Associated Greenhouse gas Emissions, Tonnes CO equivalent	1,632.75e	*1,612.54e*
Intensity Ratio, Emissions per employee	2.25 tCO2e	*2.12 tCO2e*

Associated Greenhouse gases have been calculated following the HM Government Environmental Reporting Guidelines. We have also used the GHG Reporting Protocol Corporate Standard and have used the 2022 UK Government's Conversion Factors for Company Reporting. The club recognises its responsibility to ensure a safe and healthy environment and always environmental management system, which is integrated into our overall business activities. The club remains focused on wherever possible improving energy efficiency and reducing carbon emissions.

Auditors

The auditors, MHA Chartered Accountants and Statutory Auditor, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board on 15/02/24 and signed on its behalf.



Mr. A Coleman
Director

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF SWANSEA CITY FOOTBALL 2002 LIMITED

Opinion

We have audited the financial statements of SWANSEA CITY FOOTBALL 2002 LIMITED (the 'parent Company') and its subsidiaries (the 'Group') for the year ended 31 July 2023, which comprise the Consolidated Profit and Loss Account, the Consolidated Balance Sheet, the Company Balance Sheet, the Consolidated Statement of Cash Flows, the Consolidated Statement of Changes in Equity, the Company Statement of Changes in Equity and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 31 July 2023 and of the Group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to note 2.3 in the financial statements concerning the group's ability to continue as a going concern. Should the forecasts prepared by the board, which include receipts from player trading and further shareholder finance, not be realised, the group would need to find further sources of funding in order to bridge its cash flow position. These conditions indicate the existence of a material uncertainty which may cast significant doubt about the group's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF SWANSEA CITY FOOTBALL 2002 LIMITED (CONTINUED)

Other Information

The other information comprises the information included in the Annual Report other than the financial statements and our Auditors' Report thereon. The directors are responsible for the other information contained within the Annual Report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Group Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Group Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Group and the parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Group Strategic Report or the Directors' Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Directors' Responsibilities Statement set out on page 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's and the parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF SWANSEA CITY FOOTBALL 2002 LIMITED (CONTINUED)

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Group financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud.

In response to the risk of irregularities and non compliance with laws and regulations, including fraud, we designed procedures which included:

- Enquiry of management and those charged with governance around actual and potential litigation and claims as well as actual, suspected and alleged fraud;
- Reviewing minutes of meetings of those charged with governance;
- Assessing the extent of compliance with the laws and regulations considered to have a direct material effect on the financial statements or the operations of the company through enquiry and inspections;
- Reviewing financial statement disclosures and testing to supporting documentation to assess compliance with applicable laws and regulations;
- Performing audit work over the risk of management bias and override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and reviewing accounting estimates for indicators of potential bias.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' Report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditors' Report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Rachel Doyle (Senior Statutory Auditor)
for and on behalf of
MHA Chartered Accountants and Statutory Auditor

MHA House
Charter Court
Swansea Enterprise Park
Swansea
SA7 9FS
Date: 15/02/24

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 JULY 2023

	Note	Operations excluding player amortisation & trading	Player amortisation & trading	2023 £	2022 £
Turnover	4	22,023,454	-	22,023,454	*20,122,399*
Operating expenses		(40,665,090)	(3,236,996)	(43,902,086)	*(44,291,013)*
Other operating income		108,415	-	108,415	*1,043,638*
Operating loss before profit on disposal of player registrations		(18,533,221)	(3,236,996)	(21,770,217)	*(23,124,976)*
Profit on disposal of player registrations	6	-	4,519,450	4,519,450	*10,878,312*
(Loss)/profit on ordinary activities before interest and taxation		(18,533,221)	1,282,454	(17,250,767)	*(12,246,664)*
Interest receivable and similar income	9			477,720	*308,183*
Interest payable and similar expenses	10			(1,630,088)	*(1,183,701)*
Loss before tax				(18,403,135)	*(13,122,182)*
Tax on loss	11			2,053,720	*621,032*
Loss for the financial year				(16,349,415)	*(12,501,150)*
Loss for the year attributable to:					
Owners of the parent				(16,349,415)	*(12,501,150)*
				(16,349,415)	*(12,501,150)*

The notes on pages 19 to 46 form part of these financial statements.

The consolidated Statement of Comprehensive Income has been prepared on the basis that all operations are continuing operations.

SWANSEA CITY FOOTBALL 2002 LIMITED
REGISTERED NUMBER: 04305508

CONSOLIDATED BALANCE SHEET
AS AT 31 JULY 2023

	Note		2023 £		2022 £
Fixed assets					
Intangible assets	13		8,667,488		*6,297,094*
Tangible assets	14		19,131,105		*19,843,680*
Investments	15		1		*1*
			27,798,594		*26,140,774*
Current assets					
Stocks	18	861,157		*760,200*	
Debtors: amounts falling due after more than one year	19	505,498		*5,769,876*	
Debtors: amounts falling due within one year	19	9,632,255		*9,563,126*	
Cash at bank and in hand		13,613,096		*11,571,336*	
		24,612,006		*27,664,538*	
Creditors: amounts falling due within one year	20	(16,880,190)		*(24,556,878)*	
Net current assets			7,731,816		*3,107,660*
Total assets less current liabilities			35,530,410		*29,248,434*
Creditors: amounts falling due after more than one year	21		(6,251,162)		*(23,116,382)*
Provisions for liabilities					
Other provisions	25	(445,691)		*(1,808,352)*	
Deferred taxation	26	(27,602)		*(2,081,322)*	
			(473,293)		*(3,889,674)*
Accruals and deferred income	27		(6,741,076)		*(4,002,685)*
Net assets excluding pension asset			22,064,879		*(1,760,307)*
Net assets/(liabilities)			22,064,879		*(1,760,307)*

CONSOLIDATED BALANCE SHEET
AS AT 31 JULY 2023

Capital and reserves			
Called up share capital	28	2,604,633	*950,000*
Share premium account		38,519,968	-
Capital redemption reserve		50,000	*50,000*
Equity reserves		911,589	*911,589*
Profit and loss account		(20,024,742)	*(3,675,327)*
Equity attributable to owners of the parent Company		22,061,448	*(1,763,738)*
Non-controlling interests		3,431	*3,431*
		22,064,879	*(1,760,307)*

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 15/02/24

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Mr. A Coleman
Director

The notes on pages 19 to 46 form part of these financial statements

SWANSEA CITY FOOTBALL 2002 LIMITED
REGISTERED NUMBER: 04305508

COMPANY BALANCE SHEET
AS AT 31 JULY 2023

	Note		2023 £		2022 £
Fixed assets					
Investments			41,675,367		*1,500,767*
			41,675,367		*1,500,767*
Current assets					
Debtors: amounts falling due within one year	19	3,544,870		*16,480,287*	
Cash at bank and in hand		9,334		*9,334*	
		3,554,204		*16,489,621*	
Creditors: amounts falling due within one year	20	(470,032)		*(470,032)*	
Net current assets			3,084,172		*16,019,589*
Total assets less current liabilities			44,759,539		*17,520,356*
Creditors: amounts falling due after more than one year	21		(2,633,281)		*(15,568,698)*
Net assets excluding pension asset			42,126,258		*1,951,658*
Net assets			42,126,258		*1,951,658*
Capital and reserves					
Called up share capital	28		2,604,633		*950,000*
Share premium account			38,519,968		-
Capital redemption reserve			50,000		*50,000*
Equity reserves			911,589		*911,589*
Profit and loss account			40,068		*40,069*
			42,126,258		*1,951,658*

As permitted by s408 of the Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £1 (2022 - £0).

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 15/02/24

.....
Mr. A Coleman
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 JULY 2023

	Share capital	Share premium account	Capital redemption reserve	Equity reserve	Profit and loss account	Equity attributable to owners of parent Company	Non-controlling interests	Total equity
	£	£	£	£	£	£	£	£
Balance at 1 August 2021	950,000	-	50,000	834,904	8,825,823	10,660,727	3,431	10,664,158
Year ended 31 July 2022								
Loss and total comprehensive income for the year	-	-	-	-	(12,501,150)	(12,501,150)	-	(12,501,150)
Issue of convertible loan	-	-	-	76,685	-	76,685	-	76,685
Balance at 31 July 2022	950,000	-	50,000	911,589	(3,675,327)	(1,763,738)	3,431	(1,760,307)
Year ended 31 July 2023								
Loss and total comprehensive income for the year	-	-	-	-	(16,349,415)	(16,349,415)	-	(16,349,415)
Shares issued during the year	1,654,633	38,519,968	-	-	-	40,174,601	-	40,174,601
Balance at 31 July 2023	2,604,633	38,519,968	50,000	911,589	(20,024,742)	22,061,448	3,431	22,064,879

The notes on pages 19 to 46 form part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 JULY 2023

	Share capital	Share premium account	Capital redemption reserve	Equity reserve	Profit and loss account	Total equity
	£	£	£	£	£	£
Balance at 1 August 2021	950,000	-	50,000	834,904	40,069	1,874,973
Issue of convertible loan	-	-	-	76,685	-	76,685
Balance at 1 August 2022	950,000	-	50,000	911,589	40,069	1,951,658
Loss and total comprehensive income for the year	-	-	-	-	(1)	(1)
Shares issued during the year	1,654,633	38,519,968	-	-	-	40,174,601
Balance at 31 July 2023	2,604,633	38,519,968	50,000	911,589	40,068	42,126,258

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 JULY 2023

	2023 £	2022 £
Cash flows from operating activities		
Cash absorbed by operations	(11,959,801)	*(17,555,484)*
Interest paid	(1,280,113)	*(318,502)*
Income taxes refunded	-	*1*
Net cash generated from operating activities	(13,239,914)	*(17,873,985)*
Investing activities		
Purchase of intangible assets	(6,865,342)	*(6,885,886)*
Proceeds on disposal of intangibles	5,774,568	*12,572,954*
Purchase of tangible fixed assets	(439,854)	*(119,559)*
Proceeds on disposal of tangible fixed assets	197,943	-
Interest received	477,720	*308,183*
Net cash generated from investing activities	(854,965)	*5,875,692*
Financing activities		
Issue of convertible loans	-	*2,000,000*
Issue of shares	30,016,432	
Proceeds from borrowings	-	*12,835,817*
Repayment of borrowings	(13,737,610)	*(1,438,542)*
Payment of finance lease obligations	(142,183)	*(151,075)*
Net cash generated from financing activities	16,136,639	*13,246,200*
Net increase/(decrease) in cash and cash equivalents	2,041,760	*1,247,907*
Cash and cash equivalents at beginning of year	11,571,336	*10,323,431*
Cash and cash equivalents at the end of year	13,613,096	*11,571,336*

CONSOLIDATED ANALYSIS OF NET DEBT
FOR THE YEAR ENDED 31 JULY 2023

	At 1 August 2022	Cash Flows	Conversion to Equity	At 31 July 2023
	£			£
Cash at bank and in hand	11,571,336	2,041,760		13,613,096)
Borrowings excluding overdrafts	(18,922,942)	10,610,387		(8,312,555)
Obligations under finance leases	(298,773)	142,183		(156,590)
Convertible loan notes	(15,568,698)	2,777,248	10,158,169	(2,633,281)
	(23,219,077)	15,571,578	10,158,169	2,510,670

The notes on pages 19 to 46 form part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 JULY 2023

1. General information

Swansea City Football 2002 Limited ("the company") is a private limited company domiciled and incorporated in England and Wales. The registered office is Swansea.com Stadium, Landore, Swansea, West Glamorgan, SA1 2FA. The registered number is 04305508.

The group consists of Swansea City Football 2002 Limited and all of its subsidiaries.

2. Accounting policies

2.1 Basis of preparation of financial statements

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (FRS 102) and the requirements of the Companies Act 2006.

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The comparatives amounts have been amended to present £4,002,685 of deferred income from current liabilities to accruals and deferred income on the face of the balance sheet. The directors consider that this best reflects the net current assets of the company. This is not considered a prior year adjustment, but simply a change in presentation from one acceptable balance sheet format to another. Monetary amounts in these financial statements are rounded to the nearest £.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires Group management to exercise judgment in applying the Group's accounting policies (see note 3).

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group.

The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flows and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss other comprehensive income;
- Section 26 Share based payment': Share-based payment expense charged to profit or loss reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements.
- Section 33 'Related Party disclosures': Compensation for key management personnel

The Company has taken advantage of the exemption allowed under section 408 of the Companies Act 2006 and has not presented its own Profit and Loss Account in these financial statements.

2. *Accounting policies (continued)*

2.2 Basis of consolidation

In the parent company financial statements, the cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued, and liabilities incurred or assumed, plus costs directly attributable to the business combination. The excess of the cost of a business combination over the fair value of the identifiable assets, liabilities and contingent liabilities acquired is recognised as goodwill. The cost of the combination includes the estimated amount of contingent consideration that is probable and can be measured reliably and is adjusted for changes in contingent consideration after the acquisition date. Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date. Investments in subsidiaries, joint ventures and associates are accounted for at cost less impairment.

Deferred tax is recognised on differences between the value of assets (other than goodwill) and liabilities recognised in a business combination accounted for using the purchase method and the amounts that can be deducted or assessed for tax, considering the manner in which the carrying amount of the asset or liability is expected to be recovered or settled. The deferred tax recognised is adjusted against goodwill or negative goodwill.

The consolidated group financial statements consist of the financial statements of the parent company Swansea City Football 2002 Limited together with all entities controlled by the parent company (its subsidiaries) and the group's share of its interests in joint ventures and associates.

All financial statements are made up to 31 July 2023. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances, and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

2. Accounting policies (continued)

2.3 Going concern

These financial statements are prepared on a going concern basis. The directors have a reasonable expectation that the group will continue in operational existence for the foreseeable future. However, the directors are aware of certain material uncertainties which may cause doubt on the group's ability to continue as a going concern.

The directors acknowledge the difficult financial and operational conditions the Club, along with other Championship football clubs, are experiencing. The Championship division is extremely competitive, with Championship Clubs seeking to assemble a squad of players capable of achieving promotion to the Premier League. Consequently, player costs are driven up placing considerable pressure on operational cash flows. The Club mitigates this pressure to some extent by following a player trading business model, with a track record of generating significant profits on disposals of player registrations. However, player trading alone is not sufficient to sustain the company in the long term; and the group is reliant on ownership funding and other external sources of finance in order to satisfy liquidity requirements.

The directors ensure that the group's financial position is continually monitored by preparing detailed profit and loss, balance sheet and cashflow forecasts each financial year considering a range of reasonably foreseeable scenarios and material uncertainties in relation to income and costs.

Based on these forecasts, which include expectations for net player trading and the expected availability and use of external funding, the directors remain confident the group will generate sufficient resources to meet its liabilities as they fall due and the board has concluded it is appropriate for the financial statements to be prepared on a going concern basis.

2.4 Turnover

Turnover is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business and is shown net of VAT and other sales related taxes. Principal sources of income include broadcasting and media, match day income, commercial activities and grants. Revenue is recognised when the underlying event or service takes place.

Advanced season ticket sales, broadcasting/media and advertising/sponsorship income is included within deferred income and is recognised as turnover in the relevant season.

In the instance of merchandise sales, revenue is recognised on the transfer of goods to customers, which is usually on delivery or on site purchase.

Income arising from the temporary transfer of a player registration is recognised over the period of the temporary transfer.

2. **Accounting policies (continued)**

2.5 *Intangible fixed assets other than goodwill*

Trademarks
Trademarks owned by the group are capitalised as intangible fixed assets and measured at cost less amortisation.

Players' registration fees
The costs associated with the acquisition of players' registrations are capitalised as intangible fixed assets, with cost discounted to present value where payments are deferred. Cost of players' registrations are comprised of transfer fees, transfer levies, intermediary fees and solidarity payments. These costs are fully amortised in equal instalments over the period of the players' individual contracts. Where a player's contract is extended beyond its initial period, amortisation is calculated over the period of the extended contract from the date the extension is signed. Player's registrations are written down for impairment in certain circumstances when the carrying amount is assessed as exceeding the amount recoverable through use of sale.

The profit or loss on disposal of a player's registration is calculated as the difference between the present value of the transfer fee receivable less the net book value at the date of sale and less any direct costs of the transfer. Receipts of transfer fees based on the future performance of the transferred player or the buying club are recognised when the future criteria are met or are virtually certain to be met. Similarly, payments of transfer fees based on future performance criteria are recognised when the criteria are assessed as being probable that they will be met.

Signing on fees
Players contracts of employment may include a signing on fee payable in equal instalments over the period of the contract. Where a player's registration is transferred, any signing on fees payable in respect of future periods may be effectively cancelled. Therefore, such fees are charged to the statement of comprehensive income as they fall due under the terms of the contract.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Trademarks	10 years
Player's registration costs	In accordance with terms of the contract

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

2. Accounting policies (continued)

2.6 Tangible fixed assets (continued)

Land is not depreciated. Depreciation on other assets is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

The estimated useful lives range as follows:

Freehold land and buildings	- 25 - 50 years
Leasehold land and buildings	- 25 - 50 years
Stadium Fittings	- 25 years
Plant and equipment	- 5 years
Fixtures and fittings	- 5 years

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

2.7 Fixed asset investments

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss for the period.

A subsidiary is an entity controlled by the company. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

An associate is an entity, being neither a subsidiary nor a joint venture, in which the company holds a long-term interest and where the company has significant influence. The group considers that it has significant influence where it has the power to participate in the financial and operating decisions of the associate.

Entities in which the group has a long-term interest and shares control under a contractual arrangement are classified as jointly controlled entities.

2. Accounting policies (continued)

2.8 Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine where there is any indication that those assets have suffered any impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

The directors do not consider it possible to determine the value in use of an individual player in isolation, as that player cannot generate cash flows independently. However, in circumstances where it is apparent that as at the end period the player would not be available for selection to play for the Club, the player is taken outside of the wider cash generating unit ("CGU") and valued on the recoverable amount basis being the directors best estimates of the players fair value less cost to sell, with any resulting impairment charge being made in operating expenses.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reserves, the carrying amount of the asset (or cash generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Where there is an impairment of a particular players' registration costs, consideration is given to whether there is simultaneously an onerous contract arising. Where onerous contracts exist, a provision is recognised equal to the minimum net cost of practically exiting from the contract.

2.9 Stocks

Stocks are stated at the lower of cost and net realisable value. Cost comprises purchase price less discounts where applicable. Net realisable value is based on estimate selling price.

Provision is made for obsolete and slow moving items where appropriate.

2. **Accounting policies (continued)**

2.10 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

In the Consolidated Statement of Cash Flows, cash and cash equivalents are shown net of bank overdrafts that are repayable on demand and form an integral part of the Group's cash management.

2.11 Financial instruments

The group has elected to apply the provisions of Section 11 "Basic Financial Instruments" of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's Balance Sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

All financial assets and liabilities are initially measured at transaction price (including transaction costs), except for those financial assets classified as at fair value through profit and loss, which are initially measured at fair value (which is normally the transaction price excluding transaction costs), unless the arrangement constitutes a financing transaction. If an arrangement constitutes a financing transaction, the financial asset or liability is measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Debt instruments that are classified as payable or receivable within one year are measured at the undiscounted amount of the cash or other consideration expected to be received or paid, net of impairment.

Financial assets are derecognised when and only when the contractual rights to the cash flows from the financial asset expire or are settled, the group transfers to another party substantially all of the risks and rewards of ownership of the financial asset, or the group, despite having retained some significant risks and rewards of ownership, has transferred control of the asset to another party and the other party has the practical ability to sell the asset in it entirety to another unrelated third party and is able to exercise that ability unilaterally and without the need to impose additional restrictions on the transfer.

Financial liabilities are derecognised only when the obligation specified in the contract is discharged, cancelled or expires.

2.12 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

2. **Accounting policies (continued)**

2.13 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax
The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expenses that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Deferred tax
Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed as each reporting end date and reduced to the extent that is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised. Deferred tax is charged or credited in the profit or loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the group has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

2.14 Provisions

Provisions are recognised when the group has a legal or constructive present obligation as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where the effect of the time value of money is material, the amount expected to be required to settle the obligation is recognised at present value. When a provision is measured as present value, the unwinding of the discount is recognised as a finance cost in profit or loss in the period in which it arises.

2.15 Employee benefits

The costs of short term employee benefits are recognised as a liability and an expense unless those costs are required to be recognised as part of the costs of stock or fixed assets. The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the group is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

2. **Accounting policies (continued)**

2.16 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

Where the group participates in a defined benefit plan, which is a multi employer plan that is accounted for as if the plan were a defined contribution plan, and the group has entered into an agreement with the multi employer plan that determines how the group will fund a deficit, the group recognises a liability for the contributions payable that arise from the agreement and a resulting expense in the Statement of Comprehensive Income.

A provision has also been made to cover the group's share of the liabilities of the Football League Limited Pension and Life Assurance Scheme. This is a defined benefit scheme which has been closed to new contributions since 31 August 1995.

2.17 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of liability.

Rentals payable under operating leases, including any lease incentive received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematics basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

2.18 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met, and the grants will be received.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

2.19 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2. **Accounting policies (continued)**

2.20 Deferred income

Deferred income compromises amounts received on sales of season tickets, sponsorship, broadcasting, and other commercial contracts prior to the period end in respect of future football seasons. These amounts will be released to the Statement of Comprehensive Income over the period to which the income relates.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

3. Judgments in applying accounting policies and key sources of estimation uncertainty

In application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Critical judgement
The following judgments (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements.

Impairment of Capitalised Player Registration Costs
The carrying values of capitalised player registration costs, where removed from the wider football club CGU, are subject to impairment tests on a player by player basis. On performing the individual tests of impairment, the group primarily considers the following factors:

Injury – Where the medical opinion provided suggests that a player has suffered a career ending injury then an impairment loss will be recognised in full less any anticipated insurance receivable, against the carrying value of that particular player. Career threatening injuries may also result in impairment losses depending on the medical opinion received and other external factors.

Loss of player form – The assessment of player form is considered to be highly subjective and accordingly it is unlikely that the loss of player form will result in an impairment loss unless there is firm intention to release the player without further first team performance subsequent to the period end for a fee less than his carrying amount.

Transfer of a player's registration after the end of an accounting period – Where a player is sold after the end of an accounting period, consistent with management's intentions at the year end date, without further first team action for an amount lower than the carrying value this is strong indicator of impairment and accordingly an impairment loss will be recognised in the accounting period if there is sufficient evidence that the underlying impairment existed as at the accounting period end date.

Revenue recognition
The group's primary source of revenue during the financial year ended 31 July 2023 was the English Football League (EFL). The quantum of income received directly from the EFL each year is set out in the EFL annual budget which is revised periodically throughout the financial year. Any additional income is only recognised either on receipt of cash consideration, or when the entitlement to additional income is formally communicated by the EFL in a Shareholders Meeting of the EFL or can otherwise be reliably measured at the financial reporting period end date. In the event of the EFL needing to recover revenue which was previously distributed, then provision is made for the full value of the recovery as soon as the intention is notified by the EFL. Where the fundamental event which triggered the recovery can be established, then provision is made in the period in which the fundamental event occurred.

Leases
Determining whether leases entered into by the company either as a lessor or a lessee are operating or finance leases. These decisions depend on an assessment of whether the risks and rewards of ownership have been transferred from the lessor to the lessee on a lease by lease basis.

3. **Judgments in applying accounting policies (continued)**

Key sources of estimation uncertainty
The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Tangible Fixed Assets
Tangible fixed assets are depreciated over their useful lives taking into account residual values, where appropriate. The actual lives of the assets and residual values are assessed annually and may vary depending on a number of factors. In re assessing asset lives, factors such as technological innovation, product life cycles and maintenance programmes are taken into account. Residual value assessments consider issues such as future market conditions, the remaining life of the asset and projected disposal values.

Player registrations and impairment
In accordance with the accounting policy, the directors have continued to amortise the cost of player registrations on a straight line basis over the period of their respective contracts.

Player impairment is considered annually by the directors. The directors have considered factors such as players age, injury record and whether the player is likely to contribute to future cashflows in giving their assessment of player impairments.

4. **Turnover and other revenue**

	2023 £	2022 £
Turnover analysed by class of business		
Sale of goods		
Commercial	3,345,451	2,275,511
Media	-	3,707
Rendering of services		
Media	8,671,069	9,295,406
Match	3,815,009	4,488,454
Commercial	3,892,540	3,255,085
Other	2,299,385	804,236
	22,023,454	20,122,399

	2023 £	2022 £
Other significant revenue		
Interest income	477,720	308,183
Grants received	-	-
Insurance proceeds received	-	900,046

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

5. Auditors' remuneration

Fees payable to the company's auditor and associates:

	2023 £	2022 £
For audit services		
Audit of the financial statements of the group and company	4,000	*3,250*
Audit of the financial statements of the company's subsidiaries	23,950	*21,500*
	27,950	*24,750*

	2023 £	2022 £
For other services		
Audit-related assurance services	-	*6,375*
Taxation compliance services	3,450	*3,900*
Other taxation services	-	*3,000*
	3,450	*13,275*

6. Operating loss

The operating (loss)/profit is stated after charging/(crediting):

	2023 £	2022 £
Exchange losses	108,552	*80,681*
Depreciation of owned tangible fixed assets	936,634	*1,371,093*
Depreciation of tangible fixed assets held under finance leases	104,759	*107,073*
Amortisation of intangible assets	3,239,831	*2,572,816*
Impairment of intangible assets	-	*93,656*
Profit on disposal of intangible assets	(4,519,450)	*(10,878,312)*
Operating lease charges	441,156	*344,088*
Cost of inventory recognised as an expense	1,249,195	*1,397,102*

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

7. Employees

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Football	239	236	-	-
Administration (including directors)	22	18	-	-
Commercial	45	46	-	-
Media	11	10	-	-
Stadium	409	452	-	-
	726	762	-	-

Their aggregate remuneration comprised:

	Group 2023 £	Group 2022 £
Wages and salaries	22,894,557	24,798,609
Social security costs	3,610,085	2,737,249
Pension costs	110,678	88,437
	26,615,320	27,624,295

8. Directors' remuneration

	2023 £	2022 £
Remuneration for qualifying services	364,000	475,872
Company pension contributions to defined contribution schemes	19,359	8,530
	383,359	484,402

During the year retirement benefits were accruing to 2 directors (2022 - 2) in respect of defined contribution pension schemes.

The highest paid director received remuneration of £185,000 (2022 - £142,381).

9. Interest receivable and similar income

	2023 £	2022 £
Interest on bank deposits	121,422	166,431
Finance income on unwinding of discount on player receivables	356,298	141,752
	477,720	308,183

10. Interest payable and similar expenses

	2023 £	2022 £
Interest on bank overdrafts and loans	19,611	2,625
Interest on convertible loan notes	349,975	865,199
Other interest on financial liabilities	1,118,787	223,713
Interest on finance leases and hire purchase contracts	20,267	27,779
Finance charges on unwinding of discount on player liabilities	121,448	64,385
	1,630,088	1,183,701

11. Taxation

	2023 £	2022 £
Current tax		
Current tax on profits for the year	-	*804,999*
	-	*804,999*
Total current tax	-	*804,999*
Deferred tax		
Origination and reversal of timing differences	(130,347)	*(1,427,039)*
Adjustments in respect of prior periods	(1,923,373)	*1,008*
Total deferred tax	(2,053,720)	*(1,426,031)*
Tax on loss	(2,053,720)	*(621,032)*

11. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year higher than the standard rate of corporation tax in the UK of 19% *(2022 - 19%)*. The differences are explained below:

	2023 £	2022 £
Loss before taxation	*(18,403,135)*	*(13,122,182)*
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2022 - 19%)	(3,496,596)	*(2,493,215)*
Effects of:		
Expenses not deductible for tax purposes	134,993	*99,615*
Adjustment in respect of prior years	(1,950,975)	*1,008*
Rate changes	(1,280,990)	*(536,507)*
Enhanced allowances	(4,009)	*(13,030)*
Roll over relief timing differences	-	*146,297*
Deferred tax asset not recognised	4,543,857	*2,174,800*
Total tax charge for the year	(2,053,720)	*(621,032)*

A deferred tax asset of £4,540,615 (2022: £2,174,800) relating to losses has not been recognised due to uncertainty over the future recoverability of the asset. An increase in the UK Corporation Tax rate to 25% for profits arising on or after 1 April 2023 as set out in the Finance Bill 2021 was substantively enacted on 24 May 2021. The calculation of the unrecognised deferred tax liability as at 31 July 2023 reflects this rate.

12. Impairment

Impairment tests have been carried out where appropriate and the following impairment losses have been recognised in profit or loss:

	2023 £	2022 £
In respect of:		
Intangible assets	-	*93,656*
Recognised in Administrative expenses	-	*93,656*

13. Intangible assets

Group

	Players' registration costs £	Trademarks £	Total £
Cost			
At 1 August 2022	11,199,601	58,990	11,258,591
Additions	6,865,342	-	6,865,342
Disposals	(4,421,151)	-	(4,421,151)
At 31 July 2023	13,643,792	58,990	13,702,782
Amortisation			
At 1 August 2022	4,917,449	44,048	4,961,497
Amortisation charged for the year	3,236,996	2,835	3,239,831
On disposals	(3,166,033)	-	(3,166,033)
At 31 July 2023	4,988,412	46,883	5,035,295
Net book value			
At 31 July 2023	8,655,380	12,107	8,667,487
At 31 July 2022	*6,282,152*	*14,942*	*6,297,094*

The company had no intangible fixed assets at 31 July 2023 or 31 July 2022.

14. *Tangible fixed assets*

Group

	Freehold land and buildings £	Leasehold land and buildings £	Plant and machinery £	Fixtures and fittings £	Stadium fittings £	Total £
Cost or valuation						
At 1 August 2022	9,624,643	11,278,861	8,596,276	758,234	1,122,537	31,380,551
Additions	-	-	363,076	76,777	-	439,853
Disposals	-	-	(1,220,984)	(156,790)	-	(1,377,774)
At 31 July 2023	9,624,643	11,278,861	7,738,368	678,221	1,122,537	30,442,630
Depreciation						
At 1 August 2022	2,122,354	1,820,393	6,684,689	656,641	252,794	11,536,871
Charge for the year on owned assets	241,523	248,213	484,321	43,146	24,190	1,041,393
Disposals	-	-	(1,114,207)	(152,532)	-	(1,266,739)
At 31 July 2023	2,363,877	2,068,606	6,054,803	547,255	276,984	11,311,525
Net book value						
At 31 July 2023	7,260,766	9,210,255	1,683,565	130,966	845,553	19,131,105
At 31 July 2022	*7,502,289*	*9,458,468*	*1,911,587*	*101,593*	*869,743*	*19,843,680*

The net book value of assets held under finance leases or hire purchase contracts, included above, are as follows:

	2023 £	2022 £
Plant and machinery	326,700	*437,555*
	326,700	*437,555*

The company had no tangible fixed assets at 31 July 2023 or 31 July 2022.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

15. Fixed asset investments

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Investments in subsidiaries	-	-	41,675,367	*513,370*
Loans to subsidiaries	-	-	-	*987,397*
Investments in associates	1	*1*	-	-
	1	*1*	41,675,367	*1,500,767*

Movements in fixed asset investments
Group

	Shares in associates £
Cost or valuation	
At 1 August 2022 and 31 July 2023	1
Carrying amount	
At 31 July 2023	1
At 31 July 2022	1

Movements in fixed asset investments
Company

	Shares in subsidiaries £	Loans to subsidiaries £	Total £
Cost or valuation			
At 1 August 2022	513,370	987,397	1,500,767
Additions	40,174,600	-	40,174,600
Transfers	987,397	(987,397)	-
At 31 July 2023	41,675,367	-	41,675,367
Carrying Amount			
At 31 July 2023	41,675,367	-	41,675,367
At 31 July 2022	513,370	987,397	1,500,767

16. Subsidiaries

The company's subsidiaries at 31 July 2023 are as follows:

Name of undertaking	Address	Nature of business	Class of shares held	% Held	
				Direct	Indirect
Swansea City Football Club Limited	United Kingdom	Dormant	Ordinary	99.40	-
Swansea City Association Football Club Limited	United Kingdom	Professional Association Football Club	Ordinary	100.00	-
Swansea Stadium Management Company Limited	United Kingdom	Stadium Management	Ordinary	-	100.00

Registered office addresses (all UK unless otherwise indicated):

Swansea.com Stadium, Landore, Swansea, SA1 2FA

The aggregate capital and reserves and the result for the year of the subsidiaries noted above was as follows:

Nature of undertaking	Capital and Reserves £	Profit/(Loss) £
Swansea City Football Club Limited	470,000	-
Swansea City Association Football Club Limited	21,059,995	(15,977,817)
Swansea Stadium Management Company Limited	160,116	(371,497)

17. Associates

Details of associates at 31 July 2023 are as follows:

Name of undertaking £	Address £	Nature of business £	Class of shares held £	% £	Held £
Swansea Stadium Premier Club	United Kingdom	Dormant	Ordinary	-	50.00

The registered office of the associated company is Swansea.com Stadium, Landore, Swansea, SA1 2FA.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

18. Stocks

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Finished goods and goods for resale	861,157	760,200	-	-
	861,157	760,200	-	-

19. Debtors

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Due after more than one year				
Other debtors	505,498	5,769,876	-	-
	505,498	5,769,876	-	-

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Due within one year				
Trade debtors	778,370	1,128,753	-	-
Amounts owed by group undertakings	-	-	3,544,870	16,480,287
Other debtors	7,114,503	6,333,763	-	-
Prepayments and accrued income	1,739,382	2,100,610	-	-
	9,632,255	9,563,126	3,544,870	16,480,287

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 JULY 2023

20. *Creditors: Amounts falling due within one year*

		Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Other borrowings	(note 22)	8,312,555	*13,249,605*	-	-
Trade creditors		1,008,563	*3,331,241*	-	-
Corporation tax		804,999	*804,999*	-	-
Other taxation and social security		1,157,915	*3,133,887*	-	-
Obligations under finance leases	(note 23)	144,568	*142,183*	-	-
Other creditors		5,451,590	*3,894,963*	470,032	*470,032*
		16,880,190	*24,556,878*	470,032	*470,032*

21. Creditors: Amounts falling due after more than one year

		Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Convertible Loans	(note 24)	2,633,281	*15,568,698*	2,633,281	*15,568,698*
Obligations under finance leases	(note 23)	12,022	*156,590*	-	-
Other borrowings	(note 22)	-	*5,673,337*	-	-
Other creditors		3,605,859	*1,717,757*	-	-
		6,251,162	*23,116,382*	2,633,281	*15,568,698*

22. Loans and overdrafts

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Other loans	8,312,555	18,922,942	-	-

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Payable within one year	8,312,555	13,249,605	-	-
Payable after one year	-	5,673,337	-	-

During 2020 the group applied for a loan made available by the English Football League. At 31 July 2023 the amount payable was £194,800 (2022: £389,400). An interest rate of 2% above base rate is applied but only if the group was to default on any repayments.

During 2021 the group applied for a further loan made available by the English Football League. At 31 July 2023 the amount payable was £1,388,335 (2022: £5,553,334). Interest is only payable if the group wish to extend the loan beyond the Termination Date.

During 2022 the group entered into a loan with Macquarie Bank Limited. The loan is secured against the amounts receivable on disposal of player registrations and incurs interest at 4.3% per annum. At 31 July 2023 the amount payable was £2,716,371 (2022: £5,232,274) and includes interest charged of £378,488 (2022: £144,391).

During 2022 the group entered into a loan agreement with Fasanara Securitisation SA. The loan was repaid in July 2023. Subsequently in July 2023, the group entered into a new loan agreement with Fasanara Securitisation SA which was secured against cash reserves held by the group. Interest is currently charged at 5.5% plus Euribor 3 month rate per annum. At 31 July 2023 the amount payable was £4,013,249 and included interest charged of £nil due to the proximity of the drawdown to the year end. The loan was repaid in full in October 2023.

23. Finance lease obligations

Future minimum lease payments due under finance leases:

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Within one year	144,568	142,183	-	-
In two to five years	12,022	156,590	-	-
	156,590	298,773	-	-

Hire purchase contract liabilities are secured on the underlying fixed assets.

24. Convertible loan notes

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Liability component of convertible loan notes	2,633,281	15,568,698	2,633,281	15,568,698

The net proceeds received from the issue of the convertible loan notes have been split between the financial liability element and an equity component, representing the fair value of the embedded option to convert the financial liability into equity.

The liability component is measured at amortised cost, and the difference between the carrying amount of the liability at the date of issue and the amount reported in the balance sheet represents the effective interest rate less interest paid to that date.

The effective rate of interest is 5%.

25. Provision for liabilities

		Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Dilapidation provision	(note 25)	445,690	508,342	-	-
Onerous contracts	(note 25)	-	1,300,010	-	-
Deferred tax liabilities	(note 26)	27,602	2,081,322	-	-
		473,292	3,889,674	-	-

Movements on provisions apart from deferred tax liabilities:

	Dilapidation Provision £	Onerous contracts £	Total £
On 1 August 2022	508,342	1,300,010	1,808,352
Release to profit or loss	(62,652)	-	(62,652)
Utilisation of provision	-	(1,300,010)	(1,300,010)
	445,690	-	445,690

25. Provision for liabilities (continued)

Dilapidation provision

The group occupies the Swansea.com Stadium under a lease from the City and County of Swansea. The lease is for a term of 50 years and commenced in April 2005. Under the terms of that lease the group has an obligation to maintain the Stadium in a state of good and sustainable repair.

In order to comply with this obligation the group has worked in conjunction with its professional advisors, to carry out work on the Stadium in accordance with a 'Lifestyle Maintenance Plan' prepared by its professional advisors. The plan was last updated in June 2017 and estimated that £16,038,499 is required to be expended on the Stadium over the 25 year period ending June 2042. The group undertakes the works required under the Plan, commissions regular surveys by Quantity Surveyors so that any necessary amendments can be made to the Plan, is subject to checks by the Landlord in order to verify whether the work is being performed in accordance with the Plan and obtains a specific survey on an ad hoc basis to value the cost of dilapidations at the survey date.

Within the Plan, work may be scheduled for the future years where an element of deterioration in the condition of the Stadium has taken place by the balance sheet date. It is necessary for the financial statements to include a reliable estimate of the group's liability under the lease in respect of such deterioration at the balance sheet date.

In September 2023, external surveyors inspected the stadium and updated the Plan to quantify the Lifecycle Maintenance and capital spend recommended to be outlaid over the next three years (to 2026). The directors have used this report to identify and quantify the dilapidations provision. As stated in the accounting policy, capital expenditure has been excluded. The cost of capital expenditure requiring to be replenished over the immediate maintenance period has been assessed as £378,416 (2022: £330,011). Both the repair and capital costs referred to above are expected to be expended within the 3 years from the report date. Such three years repair and capital cost estimates are revised on an ongoing rolling basis.

Due to the scope of the report and the inherent risk of predicting future events, it is possible that additional costs may be expended in future years in relation to deterioration of the stadium at 31 July 2023 in addition to the amounts quantified above.

26. Deferred taxation

Group

	2023 £
At beginning of year	(2,081,322)
Release to profit or loss	2,053,720
At end of year	(27,602)

	Group 2023 £	Group 2022 £
Accelerated capital allowances	(1,201,744)	(2,113,580)
Tax losses carried forward	1,151,710	10,720
Other short term timing differences	22,432	21,538
	(27,602)	(2,081,322)

The company has no deferred tax assets or liabilities.

27. Accruals and deferred income

	Group 2023 £	Group 2022 £
Deferred income	6,741,076	4,002,685
	6,741,076	4,002,685

28. Share capital

	2023 £	2022 £
Allotted, called up and fully paid		
2,604,633 (2022 - 950,000) Ordinary shares of £1.00 each	2,604,633	950,000

During the year 1,654,633 Ordinary £1 shares were issued for a total consideration of £40,174,601. The amount of £38,519,968 has been included within share premium.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the company.

29. Retirement benefit schemes

	2023 £	2022 £
Charge to profit or loss in respect of defined contribution schemes.	110,678	88,437
	110,678	88,437

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

30. Commitments under operating leases

At 31 July 2023 the Group and the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	Group 2023 £	Group 2022 £	Company 2023 £	Company 2022 £
Within one year	448,906	*421,225*	-	-
Between two and five years	1,627,226	*1,433,391*	-	-
In over five years	14,050,000	*14,450,000*	-	-
	16,126,132	*16,304,616*	-	-

31. Financial commitments, guarantees and contingent liabilities

Under the terms of certain contracts for the purchase of players' registration, future payments may be due, dependant on the future success of the team and/or the future team selection and performance of individual players. As at 31 July 2023, the maximum that could be payable is £6,389,891 (2022: £7,105,556). Signing on fees of £789,500 (2022: £449,777) will become due to certain players if they are still in the service of the Club on specific future dates. In accordance with the group's stated accounting policies these amounts have not been recognised as liabilities as at 31 July 2023. In addition to the above, the Club purchased a player registration within the year, where the selling club are seeking additional recompense. At this stage, any additional liability to the group cannot be quantified and no additional liability has been recognised. If settled, any outgoing of economic benefits would occur within an estimated 12 months of the balance sheet date.

32. Events after the reporting date

Subsequent to the balance sheet date, the Club sold certain player registrations for a total consideration of £9,890,845 (2022: £nil). In addition, the Club acquired new player registrations and extended the registrations of existing players for a total consideration of £4,642,848 (2022: £nil). The group also acquired tangible fixed assets for a total consideration of £702,201.

Further subsequent to the balance sheet date the subsidiary company issued 7,000,000 ordinary shares at par value of £0.50 per share and the parent company issued 151,910 ordinary shares at £23.04 per share.

33. Related party transactions

Remuneration of key management personnel

The remuneration of key management personnel is as follows:

	2023	2022
	£	£
Aggregate compensation	458,801	484,403

Transactions with related parties

During the year the group entered into the following transactions with related parties:

	Sales 2023	Sales 2022	Purchases 2023	Purchases 2022
	£	£	£	£
Group				
Key management personnel	1,236	3,398	-	-
Other related parties	136,883	133,675	64,085	54,838

The following amounts were outstanding at the reporting end date:

Amounts due from / to related parties

	Receivables outstanding 2023	Receivables outstanding 2022	Creditors outstanding 2023	Creditors outstanding 2022
	£	£	£	£
Group				
Other related parties	133,090	132,000	*3,091*	*1,690*
Key management personnel	15,058	561	-	-

34. Controlling party

In the opinion of the directors, the Company's ultimate parent company and ultimate controlling party is Swansea Football LLC, a company incorporated in the United States of America. Swansea Football LLC is the parent company of the largest group which includes the company. The ultimate controlling party is Mr Jason Levien by virtue of his interest in the ultimate parent company.